NexusIQ Corporation — Customer Escalation Policy

Standard Operating Procedure | Version 4.0 | Effective: January 1, 2024

Owner: Customer Success | Review cycle: Quarterly | Last revised: December 10, 2023 | Classification: Internal

1. Purpose and Escalation Philosophy

NexusIQ operates a tiered customer support structure across 2,000 active support cases in FY 2024. The escalation framework exists to ensure that customer issues exceeding the resolution authority of front-line agents are transferred quickly and with full context to personnel with the authority and expertise to resolve them. Escalation is not a failure indicator; it is a designed pathway for complex cases.

FY 2024 support case distribution by priority: low 520 cases (26.0%), high 502 cases (25.1%), urgent 497 cases (24.9%), medium 481 cases (24.1%). Resolution status at year-end: closed 530 (26.5%), in-progress 506 (25.3%), open 489 (24.5%), resolved 475 (23.8%). Cases classified as urgent that remain open beyond 24 hours trigger automatic supervisor notification.

2. Escalation Tier Definitions

The escalation structure has four tiers. Tier 1 is front-line customer service, handling routine inquiries, order status checks, standard returns, and policy clarifications. Tier 1 agents have authority to issue refunds up to $200 and apply standard return windows without supervisor approval. Tier 2 is the senior specialist team, handling complex returns, billing disputes, multi-transaction issues, and cases requiring cross-department coordination. Tier 3 is the Customer Success Manager tier, handling high-value customer retention cases, cases involving potential legal exposure, and customers whose lifetime value exceeds $10,000. Tier 4 is the Executive Escalation path for media-facing complaints, regulatory inquiries, and cases flagged by the legal team.

Tier	Role	Authority Limit	Avg Case Volume/Day	Resolution Target
Tier 1	Front-Line Agent	Refunds to $200; standard policy	18 cases/agent	Same day
Tier 2	Senior Specialist	Refunds to $1,500; policy exceptions	9 cases/agent	48 hours
Tier 3	Success Manager	Refunds unlimited; retention offers	4 cases/manager	72 hours
Tier 4	Executive / Legal	Full authority	As needed	Case by case

3. Escalation Triggers and Response Time SLAs

Cases are escalated when any of the following triggers fire: refund amount exceeds the agent's authority limit, the customer makes a repeat contact on the same issue for the third time within 30 days, the customer explicitly requests supervisor review, the case involves a product safety concern, or the case has remained open beyond the tier SLA. Urgent priority cases have compressed SLAs across all tiers to ensure rapid resolution of time-sensitive issues.

Priority	Tier 1 Initial Response	Tier 1 Resolution Target	Tier 2 Response	Tier 3 Response
Urgent	30 minutes	4 hours	1 hour	2 hours
High	2 hours	Same business day	4 hours	Same day
Medium	4 hours	48 hours	8 hours	24 hours

Low	8 hours	5 business days	24 hours	48 hours

SLAs measured from case creation timestamp. Breach notifications fire automatically at 80% of SLA window.

4. Return-Driven Escalation Procedures

Return cases frequently escalate when the customer disputes a rejection decision or when the return involves a high-value Electronics item. Per the Returns and Refunds Policy (Section 6), rejected returns may be appealed within 14 days. Those appeals enter the support queue at Tier 2 automatically, bypassing Tier 1 review to reduce repeat customer effort.

In FY 2024, return-driven escalations accounted for 31% of all Tier 2 cases. The most common reasons were: rejected return appeal (42% of return escalations), refund not received within expected timeline (28%), and product defect dispute requiring quality team input (18%). The remaining 12% involved cases where the customer's return tracking showed delivery but no NexusIQ receipt acknowledgment, typically caused by processing delays at regional return centers.

5. High-Value Customer Handling

Customers with lifetime spend above $15,000 — approximately 1,390 accounts based on FY 2024 customer spend analysis — are flagged in the CRM as Platinum or Diamond tier. When a flagged customer contacts support, the case is routed directly to a dedicated senior specialist pool rather than general Tier 1 queue. This routing reduced average resolution time for high-value customers from 3.8 days to 1.4 days following its introduction in Q1 2024.

High-value customers are also eligible for proactive outreach when the system detects a negative signal: a return submitted, a support case open beyond 48 hours, or a purchase not completed after cart abandonment. Proactive outreach increased high-value customer satisfaction scores from 78% to 86% over FY 2024.

6. FY 2024 Escalation Performance Summary

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024	FY 2024
Total support cases	481	492	503	524	2,000
Tier 2 escalations	112	118	124	141	495 (24.8%)
Tier 3 escalations	28	31	33	41	133 (6.7%)
Avg resolution time (all)	2.9 days	2.7 days	2.6 days	3.1 days	2.8 days avg
SLA breach rate	8.2%	7.1%	6.8%	9.4%	7.9% avg
Customer satisfaction (CSAT)	79%	81%	82%	80%	80.5% avg

Q4 2024 escalation volume and resolution time reflect holiday season demand surge. See Seasonal Demand Incident Report for root cause analysis.